Morepen Laboratories Ltd

Concall tracker, filed under Q2 2027 (results for the quarter to 30 Sep 2026). Prepared 11 Nov 2026.

1. Snapshot

Morepen is a 40-year-old Himachal-based maker of bulk drug ingredients (APIs = active pharmaceutical ingredients, the chemical that does the work inside a pill) for allergy, asthma and cholesterol medicines, sold mostly to drug makers abroad. It also sells Dr Morepen glucometers and BP monitors across India, some branded medicines and OTC products like Burnol. Since early 2026 it also manufactures to order for one large global customer (CDMO = contract development and manufacturing).

Number	Value	Plain read
Market cap	about ₹5,400 cr	What the whole company is worth on the market today.
Sales, last 12 months	about ₹2,140 cr	Up close to two-fifths on FY26, almost all of it in the last two quarters.
Net profit, last 12 months	about ₹175 cr	More than double FY26's ₹66 cr. The last two quarters alone made ₹132 cr.
Operating margin (OPM)	15-16% in Jun and Sep 2026 quarters	For years it sat at 8-11%; FY26 was just 7%. This is a step up, not a wobble.
Debt to equity	0.23x (company deck)	Light borrowing, though a bit higher than FY26's 0.17x.
Promoter holding	35.7%	Low and flat since the Aug 2024 QIP (QIP = a share sale to institutions); no promoter buying.

Note: Screener shows Sep 2026 quarter sales of ₹678 cr; the company deck shows ₹755 cr. The medical-devices business moved into a subsidiary (Morepen Medipath) from 1 Apr 2026, so the two likely cover different scopes. Direction is the same in both.

2. Concall coverage

Gap flag: Morepen has held no earnings call with a published transcript since 13 May 2025. Five later quarters (Q1 FY26 to Q2 FY27) came with only an investor presentation, filed on NSE (6 Aug 2025, 14 Nov 2025, 10 Feb 2026, 27 May 2026, 4 Aug 2026, 27 Oct 2026). The company's earnings-calls page lists nothing for this period. So this report reads the seven calls from Nov 2023 to May 2025 in full, and the last three presentations plus a web search for everything after.

Quarter	Date	Source read
Q2 FY24	8 Nov 2023	Transcript
Q3 FY24	1 Feb 2024	Transcript
Q4 FY24	May 2024	Transcript
Q1 FY25	Aug 2024	Transcript
Q2 FY25	12 Nov 2024	Transcript
Q3 FY25	6 Feb 2025	Transcript
Q4 FY25	13 May 2025	Transcript (last call held)
Q4 FY26	27 May 2026	Investor presentation
Q1 FY27	4 Aug 2026	Investor presentation
Q2 FY27	27 Oct 2026	Investor presentation (no call)

Seven calls over about eighteen months, plus a year and a half of slides only. The consistency read for the latest year rests on what the slides claim against what the numbers show, since nobody could question management.

Latest update highlights: Q2 FY27 (presentation, 27 Oct 2026)

- Second record quarter in a row. Deck revenue ₹755 cr, up 81% on a year ago; profit ₹89 cr, more than double. In plain terms, the business is suddenly much bigger and far more profitable.
- Operating margin about 17%, up roughly nine points in a year. That's the best Morepen has shown in over a decade.
- The big driver: contract manufacturing for one global customer jumped from ₹58 cr in the June quarter to ₹253 cr in the September quarter, now over half of API-plus-CDMO sales. This comes from a ₹823-825 cr multi-year mandate signed around Feb 2026.
- Exports more than doubled and are now about half of all sales, against about a third a year ago. Glucometers and BP monitors grew 65% in the quarter.
- Tone: big and confident ("Morepen enters a new earnings scale"), with plans to take reactor capacity from 614 KL toward 800 KL and later more. No numeric guidance, and no call to test it.

Business mix and capacity
Domestic about 50% / exports about 50% of sales (H1 FY27, deck), against 35% exports a year earlier. Within APIs, about three-quarters is exported.
API reactor capacity: 614 KL commissioned (KL = kilolitres of reactor volume, a measure of how much chemistry a plant can run at once). The May 2025 call promised 600 KL within FY26, so this was delivered. Next steps: about 800 KL, and a long-range "Phase 4" slide mentions 1,200 KL by FY30. Utilisation not disclosed.

3. Earning trigger thesis

The thing that changed Morepen's earnings is one large, multi-year contract-manufacturing order from a global drug company. It went from audits and validation batches (early 2026) to commercial supplies (Q1 FY27) to a big ramp (Q2 FY27). Because the plant was already built and paid for through the 2024 QIP, most of the extra sales fell straight to profit. Older drivers (new patent-expiry molecules, glucometer growth) keep adding at the edges. The question is whether this is a one-customer surge or the start of a broader contract-manufacturing business.

Trigger	What management said	Evidence so far	Time horizon	Strength
Global CDMO mandate	"Secured multi-year mandate (Rs. 823 cr)", "long-duration customer programme, recurring revenues, higher margins" (May and Aug 2026 decks)	CDMO sales ₹58 cr then ₹253 cr in two quarters; margin up from 7% to about 17%	Now, multi-year	**Strong**, already in results, but it's one customer
Capacity build to 600 KL and beyond	600 KL "within FY26" (May 2025 call); 800 KL next	614 KL commissioned "ahead of schedule"	Done; next stage undated	**Moderate**, delivered, but next stage has no date
New API molecules (diabetes, cardiac)	New molecules to grow much faster as patents expire (May 2025)	Now 25% of API revenue in H1 FY27, from 14% a year ago	Ongoing	**Moderate**

Medical devices	Number one in glucometers and BP monitors; capacity expansion	Q2 devices revenue up 65%; installed base about 20 mn meters	Ongoing	**Moderate**
Branded formulations, medical reps to 1,200	Double MRs from 200 to 400, later 1,200 (May 2025)	Not mentioned in the 2026 decks at all	Was 3 years	**Weak**, quietly dropped from the story

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt to equity rose slightly, 0.17x to 0.23x (Oct 2026 deck)
New business	Yes	"The CDMO journey has entered commercial scale" (Aug 2026 deck); CDMO now over half of API+CDMO sales (Oct 2026)
Margin up	Yes	"EBITDA profile moving from ~11% to 20%+" (May 2026 deck); Q2 margin 17.45%, up 897 bps (Oct 2026)
New management	No	Not mentioned
New capacity	Yes	"614 KL capacity commissioned ahead of schedule" (Oct 2026 deck)
Big orders	Yes	"Secured multi-year mandate (Rs. 823cr)", phased delivery (May 2026 deck)
Turnaround	No	Not framed as one; it was profitable throughout
Promoter buying	No	Promoter stake flat at 35.7%

Single concrete driver: a multi-year contract-manufacturing order from one global drug company, now shipping in volume from the newly expanded Baddi API plant.

3c. Margin bridge

Operating margin is about 17% now against about 7-8% a year ago. Why: the CDMO supplies carry higher margins than the old price-driven API business, sales grew on a plant whose cost was already in place (operating leverage = more sales on the same fixed costs), and new molecules lifted the API mix. Management presents it as structural, with a "path toward 20%+". It rests on one customer's order schedule, so treat it as lasting only while that mandate keeps shipping. **(lasting, per management)**

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2023	EBITDA margin into double digits next year	FY24 margin about 11%	Delivered
Feb 2024	Hold 12-13% blended EBITDA margin for two years	FY25 about 10%, FY26 about 7%	Missed
Aug 2024	QIP capacity lifts margin by 3-4 points and growth to 15-20%	FY25 sales up 1-7%, FY26 up 8%; margin fell before it rose	Missed (then late)
Nov 2024 / Feb 2025	All QIP capacity (600 KL) running by end FY26	614 KL commissioned	Delivered
May 2025	10-15% company growth; every quarter near ₹500 cr	FY26 grew 8%; quarters ran ₹370-460 cr until Q1 FY27	Missed

May 2025	Double medical reps, push branded formulations	Not reported since	Dropped
May 2026	CDMO phased delivery "in the next few weeks"	₹58 cr in Q1, ₹253 cr in Q2	Delivered

Narrative drift: high. In late 2024 "Morepen 2.0" meant consumer brands, OTC and a bigger sales force. By 2026 the same label means contract manufacturing for global pharma. The new story is the one that's working, but the company also stopped taking questions just as the story changed. Older targets (margins, growth) were missed for most of FY25 and FY26 before the CDMO order rescued them. Tone stayed upbeat throughout, including in weak quarters.

5. Bottom line

Durable earning trigger? → YES

The CDMO mandate is named, sized, multi-year and already showing in two quarters of results, on a plant that's built. It's durable for the life of the contract. The weakness is concentration: it's one customer, and the decks don't name a second.

Management consistent? → MAYBE

Capacity promises were kept, and the CDMO ramp came as described. But margin and growth targets were missed for two years, the consumer-led "Morepen 2.0" plan vanished without explanation, and there's been no earnings call for a year and a half. That last part matters: nobody has been able to ask about customer concentration or contract terms.

6. Checkpoints for next quarter

- Contract-manufacturing sales hold near the Q2 FY27 level
- Operating margin stays near this quarter's record
- Glucometer and BP-monitor sales keep growing

Sources: Screener.in financials and transcripts (Nov 2023 to May 2025); NSE filings of investor presentations (27 May 2026, 4 Aug 2026, 27 Oct 2026); morepen.com investor pages; Arthneeti summaries (figures cross-checked against the company deck). This is not investment advice. Do your own due diligence.